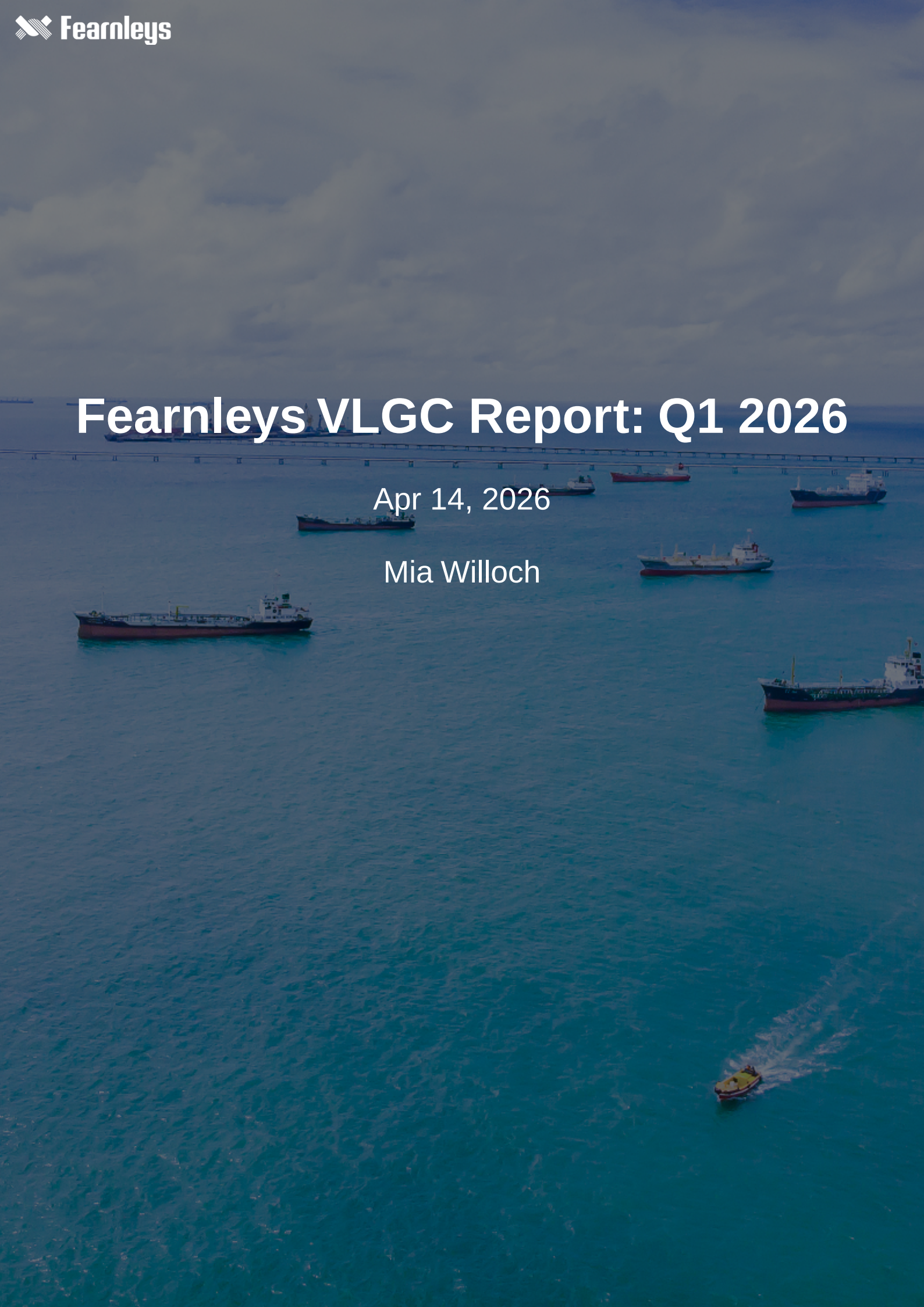


# Fearnleys VLGC Report: Q1 2026

Apr 14, 2026

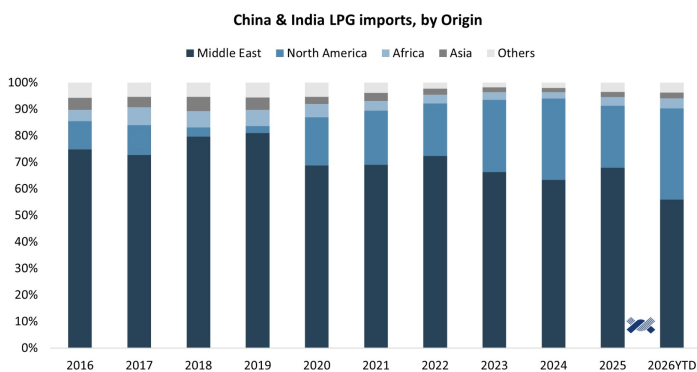
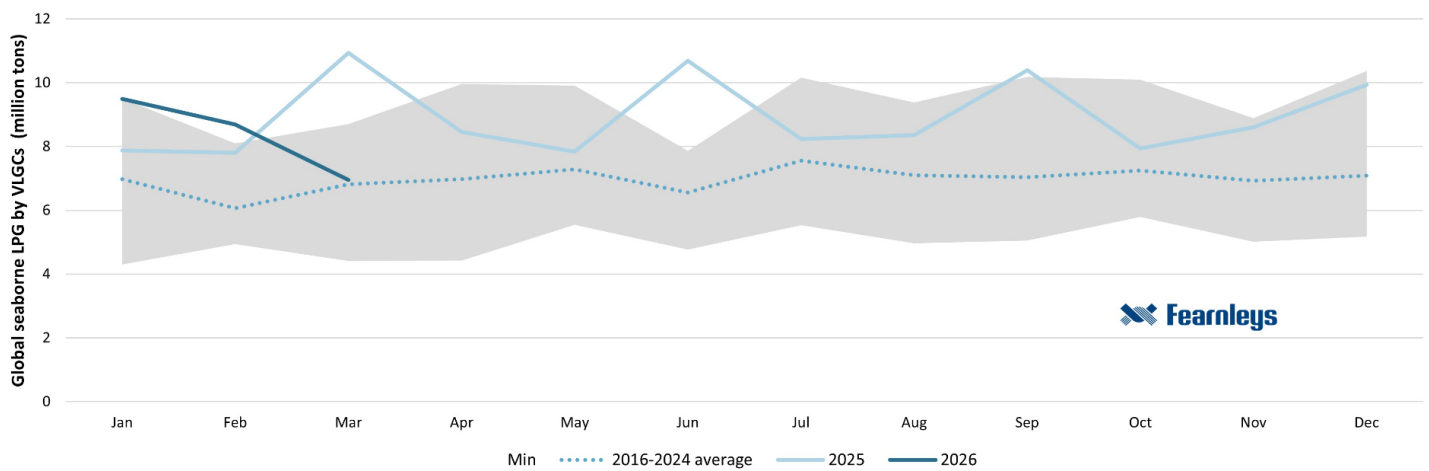
Mia Willoch



## All eyes on Hormuz

The past year has been anything but ordinary for the LPG market, and this quarter will go down in the history books as one of the most impactful for shipping to date. January and February were, for the most part, relatively normal, with healthy market conditions and stable export flows from both main regions. Newbuilds were delivered as scheduled, and they were all well-absorbed.

Following escalation in the U.S./Israel-Iran conflict at the end of February, Iran's Revolutionary Guard Corps (IRGC) declared the strait of Hormuz operationally closed, putting all AG export in an overnight-chokehold. Since then, each week has brought new challenges and the global energy market has been forced to confront, first-hand, the critical importance of Middle Eastern supply. As the Middle East accounts for over 30% of global LPG supply, total seaborne exports have, as expected, declined; particularly during the month of March. However, recent weeks have seen a record-high number of liftings out of the U.S. to replace lost MEG volumes. As a result, we expect seaborne volumes to increase in the upcoming quarter.



The countries hit hardest by the disruption in LPG flows from the region have been China and India, which together absorb approximately 85% of all MEG exports. To date, we have observed some replacement of supplies, with both countries increasingly sourcing barrels from North America.

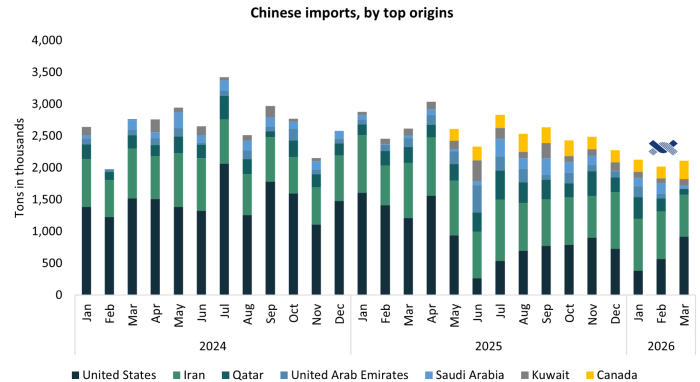
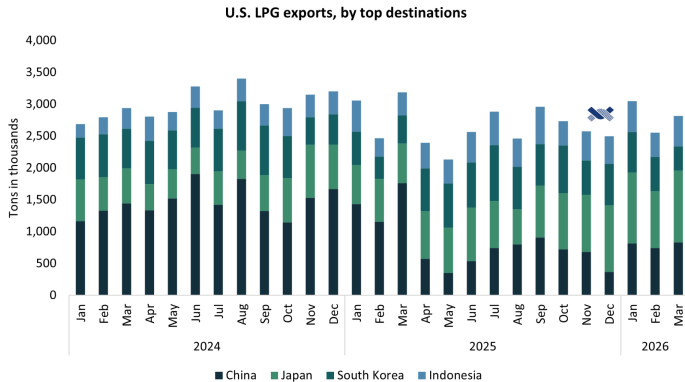
In China, overall PDH plant run rates have declined by 10%, falling from 64% to 56%. In India, the impact has been more pronounced in residential and service-industry consumption, with numerous hotels and restaurants temporarily shutting down as they are no longer able to operate amid LPG scarcity.

The disruption in flows triggered a sharp increase in price volatility, pushing the arbitrage wide open to a record high of \$728.5 on March 19. This was largely driven by the FEI reaching a 12-year high of \$1,131 (previously peaking at \$1,155 in 2013). The market reaction followed critical Iranian attacks on Gulf producers, which caused extensive damage to Qatar's Ras Laffan production site. QatarEnergy has since confirmed that the fallout from the attack will have long-term consequences for its massive natural gas projects, with approximately 13% of its LPG production capacity expected to be lost.



As if the loss of MEG supplies were not already severe, planned new capacity from Qatar and Saudi Arabia was expected to play a crucial offsetting role. Initially, the region was set to increase export capacity by 20% by 2027, driven by more than 6 MTPA from new natural gas projects in Qatar and an additional 2.5 MTPA from Saudi Arabia's Jafurah shale gas project. However, the extent to which these new volumes will ultimately come online, now remains uncertain. QatarEnergy has already announced delays to its projects, calling into question the timing and scale of future supply growth. These volumes were highly anticipated by the VLGC fleet, which is scheduled to expand by 85 newbuilds over the same period.

It has now been a year since "Liberation Day" in 2025, an event that fundamentally altered global LPG trade flows, many of which persist today as the "new normal." U.S. exports to China remain at only 50% of pre-trade war levels. Chinese LPG imports are now more diversified, with new flows emerging from Canada.

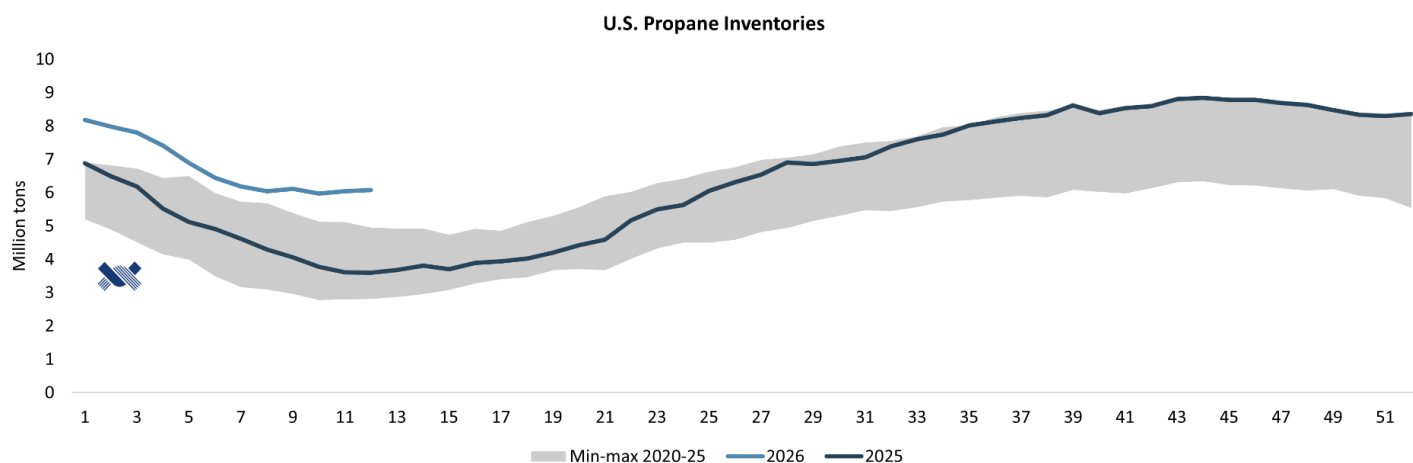


Following the closure of the Strait of Hormuz, a large-scale repositioning of the VLGC fleet commenced, with vessels ballasting toward the United States. This resulted in a surge of West-bound fixtures during March, leaving limited tonnage available. As has historically been the case, increased transit activity triggered a sharp rise in auction fees, with a VLGC reportedly paying up to \$4 million to secure canal transit. This matches the previous historical high recorded during the Great Drought in 2023. Increased demand for canal transits has been observed not only from gas carriers, but across other shipping segments as well, further exacerbating upward pressure on auction fees.

With Hormuz closed, market focus shifted heavily toward U.S. supply, raising the critical question of whether the United States could offset the disrupted Middle Eastern volumes. The short answer is no. That said, two major terminal expansions by Enterprise are scheduled to come online in 2026: Neches River Phase 2, adding 11 MTPA of ethane/LPG-flexible capacity in Q2, and the Houston terminal expansion of 9 MTPA in Q4. Combined, these projects will increase total U.S. NGL export capacity by approximately 20 MTPA. Unfortunately, U.S. export barrels remain propane-heavy, in contrast to Middle Eastern barrels, which are more evenly split between propane and butane. The first propane shipment out of the Neches River facility was loaded onto a VLGC this week.

U.S. export terminals have responded rapidly to the surge in demand, with utilization rates climbing close to 100%. This has pushed terminal fees to their highest levels in more than a decade. Compounding the situation, Targa's Galena Park terminal declared force majeure on March 18 due to mechanical damage, reducing operating capacity to approximately 70%. This further tightened an already strained market, as Galena Park is the third-largest U.S. LPG export terminal, handling nearly 25% of total U.S. exports.

Despite these disruptions, U.S. LPG production has remained consistently strong throughout 2026, resulting in propane inventories ending March at 69% above the five-year average.



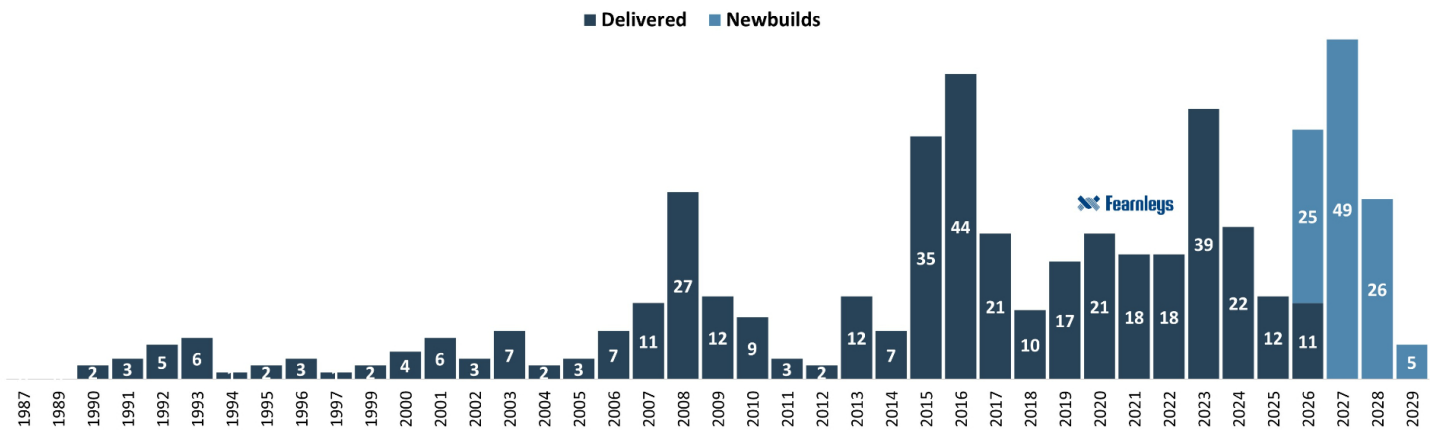
One of the most influential drivers of fleet utilization has been sailing patterns for both laden and ballast voyages. Laden VLGCs heading from the U.S. to the Far East typically transit the Panama Canal, which offers a significantly shorter route than the alternative voyage around the Cape of Good Hope. Activity through the Suez Canal remains very limited, with minimal VLGC traffic reported. During Q1, 73% of laden U.S. export voyages transited the Panama Canal, slightly below the 2025 average of 75%. Conversely, 38% of vessels ballasting back from the Far East to the U.S. opted to route via the Cape of Good Hope, up from a 35% average in 2025.

Average daily spot TCE earnings across the three benchmark routes reached \$79,800 per day in Q1, driven primarily by extreme market volatility and record-high bunker prices. This contrasts sharply with Q1 of the previous year, when average earnings stood at \$36,300 per day, representing a 120% increase year-on-year. **BLPG1 averaged at \$76,000 per day and BLPG3 at \$71,200.** As all AG-related activity was halted during the final month of the quarter, BLPG1 publications in March were reduced to a weekly frequency, issued each Wednesday (with the exception of March 2nd, 3rd, and 4th). This reduced publication frequency has been accounted for in the averages. In April, the index publication schedule was increased to bi-weekly.

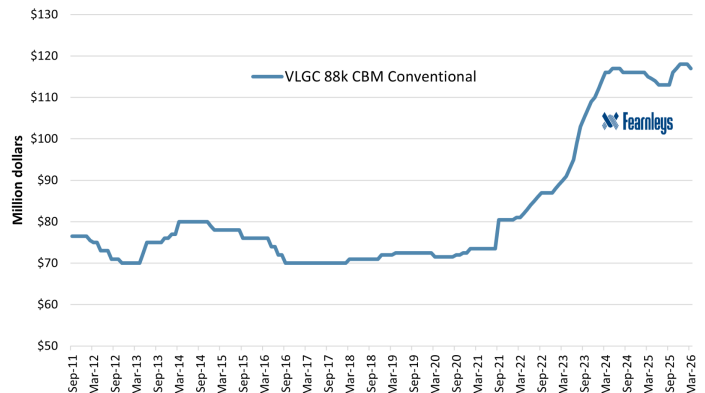
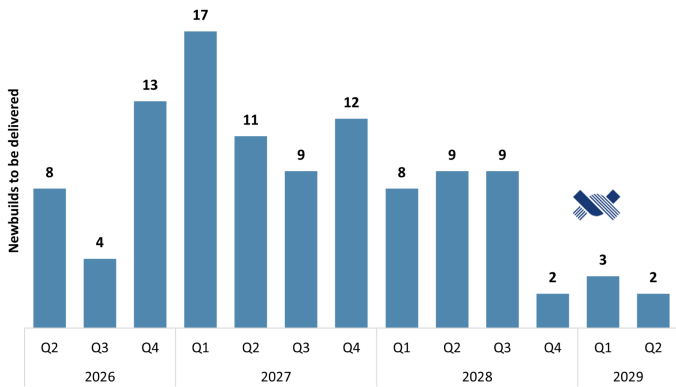
Although 13 VLGCs have successfully transited the Strait of Hormuz during this period, approximately 10 vessels remain trapped within the region. As of April 7, a two-week ceasefire had been agreed upon between the U.S./Israel and Iran, conditional on a "complete, immediate, and safe" reopening of the Strait of Hormuz. It remains unclear how shipowners and insurers will ultimately assess the situation, and it would be surprising if oil and gas producers were to immediately reverse shut-in production against such a fragile backdrop. Even under stable conditions, it would take weeks to reschedule loadings and reposition vessels - not to mention the risk of ships again becoming stranded should negotiations fail to yield a lasting peace agreement.

Looking further ahead, one of the most significant wildcards for the VLGC market lies in Iran's demand for sanctions relief within ongoing negotiations with the U.S./Israel. Currently, approximately 14% of the global VLGC fleet is engaged in sanctioned trade, transporting LPG from Iran to China - a flow that in 2025 amounted to nearly 10 MTPA, or around 9% of global trade. These roughly 60 vessels could quickly become phase-out candidates should sanctions be lifted as part of a broader peace agreement. Notably, 41% of these ships are over 30 years old and would likely be unable to re-enter the regular-trading market.

## Newbuilds continue to be delivered, while ordering activity has picked up in 2026



A total of 11 newbuilds were delivered in Q1, leaving 25 vessels scheduled for delivery over the remainder of 2026. The VLGC fleet now stands at 423 ships, with an orderbook of 107 vessels, corresponding to an orderbook-to-fleet ratio of 25%. The majority of the orderbook is characterized by ammonia-ready designs (up to 98% cargo capacity), LPG dual-fuel propulsion, and Panamax dimensions. Following subdued ordering activity in 2025, newbuilding interest has rebounded in early 2026, reflecting a more optimistic long-term outlook for LPG market growth. Newbuilding prices have edged slightly lower but remain within the \$115–120 million range, depending on technical specifications. Yard capacity remains tight, with new deliveries now largely scheduled for 2029. Hyundai Heavy Industries in South Korea remains the largest VLGC builder, while approximately one-quarter of newbuildings are currently under construction in China.



### Now, what's next?

Market focus in the coming weeks will center on developments in negotiations between the U.S./Israel and Iran, and on the potential reopening of the Strait of Hormuz. We expect ballasting vessels approaching the West to result in a relatively long tonnage list upon arrival - however, as the U.S. continues to demonstrate strong production, with inventories remaining well above historical averages heading into the summer season, we could see a continued surge in exports and a more optimistic outlook regarding the replacement of MEG volumes than initially expected. In parallel, an additional 25 newbuilds are scheduled for delivery during the rest of the year. How trade flows evolve from here will ultimately determine tonne-mile demand; however, we expect the inefficiency associated with longer voyage distances to absorb much of the incremental fleet growth - provided sufficient LPG availability to keep vessels employed.



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